

BK Group PLC

Investor Presentation

Quarter 1 2025



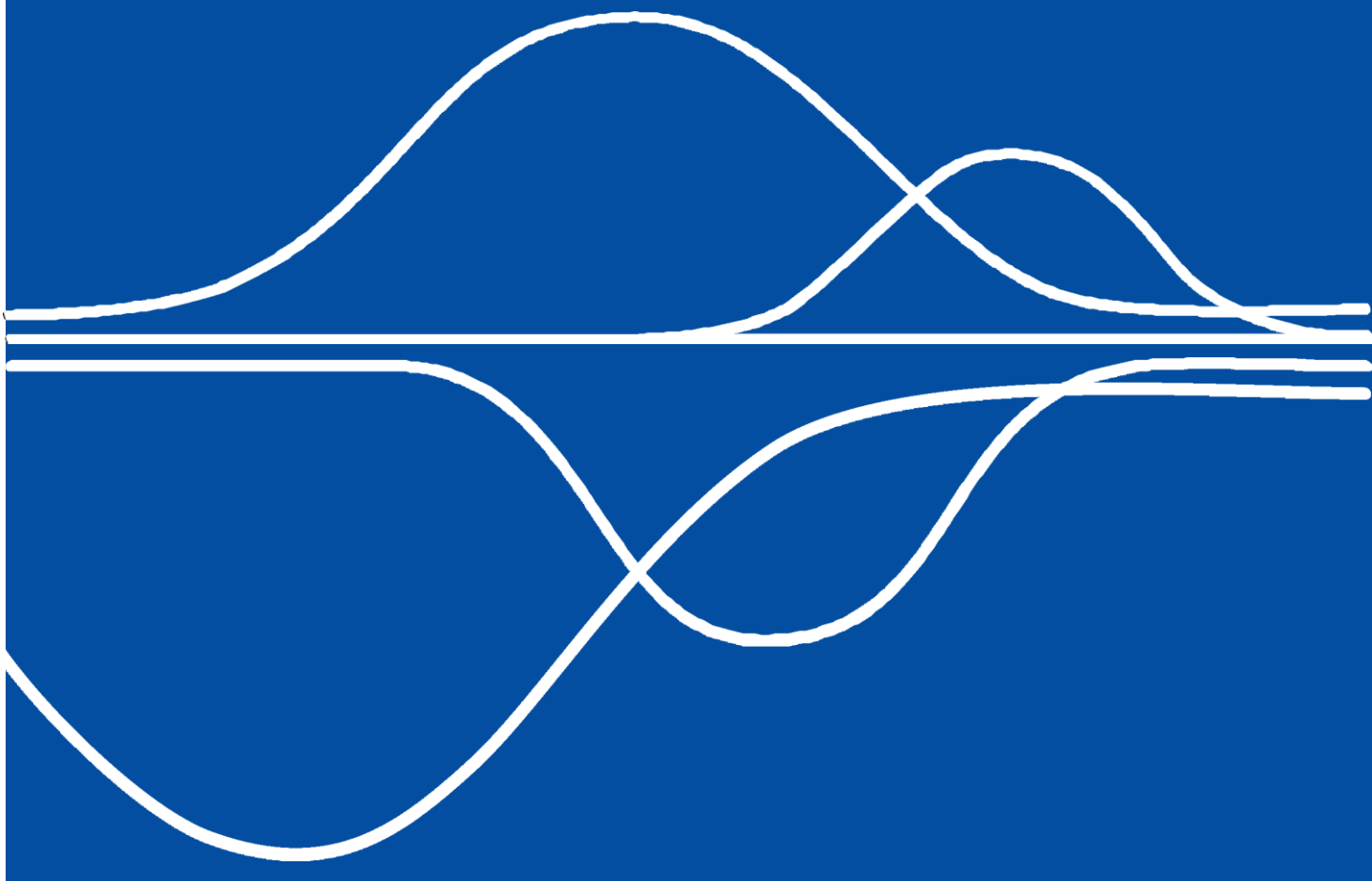
Disclaimer

This presentation contains statements that constitute “forward-looking statements”, including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank’s structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

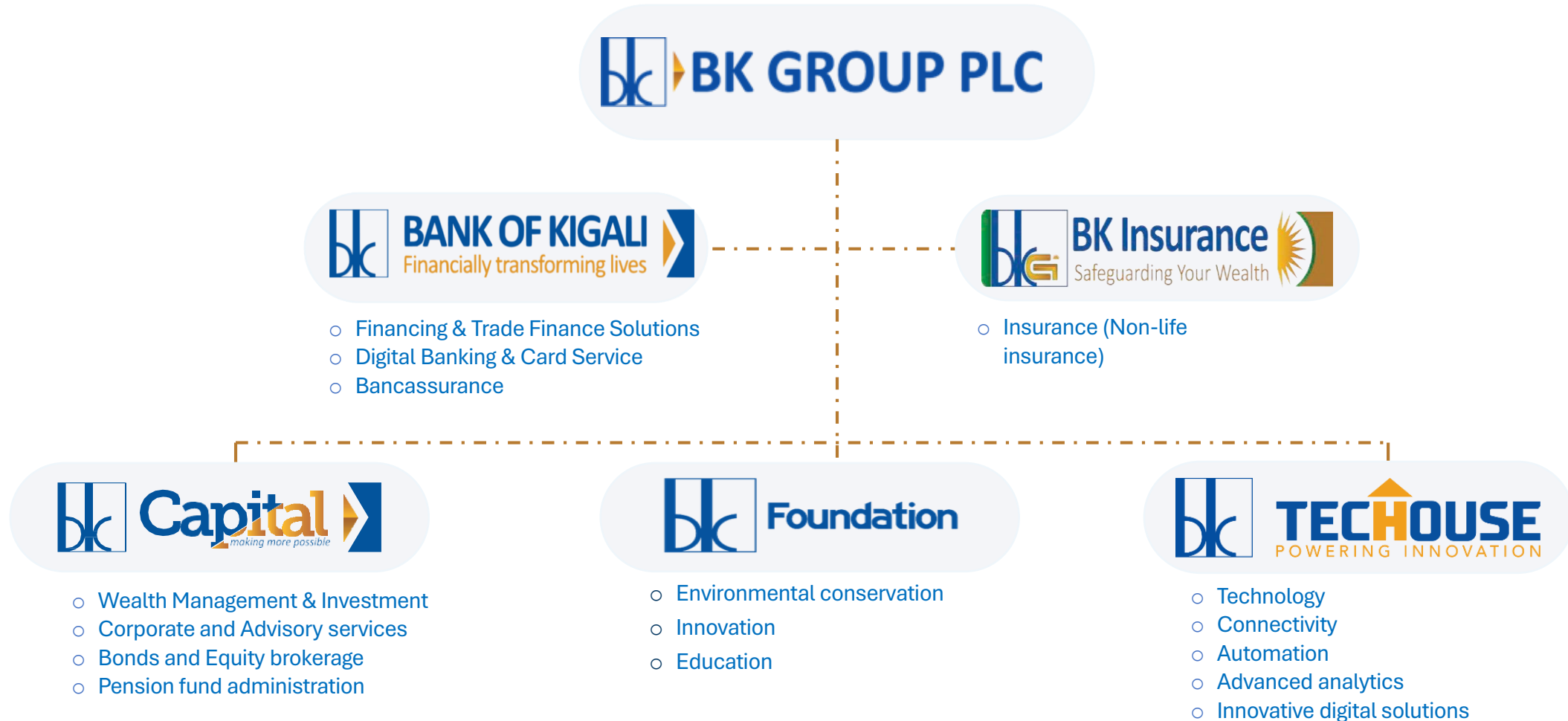


01 Who We Are

About BK Group Plc

Financial Highlights

04 BK Group's Integrated Financial Ecosystem



05 What Drives Our Business

Our Vision

Transform the lives of our stakeholders by offering state-of-the art, customer-centric financial services

Our Mission

Delight our customers via deep knowledge of our region, cultivating engaged talent , and ground-breaking innovation

Our values

- Customer Focus
- Integrity
- Quality
- Excellence

Our Strategic Objectives



Innovative Culture and Employer of Choice for Top Talent



Data-Driven Customer Centricity



Efficient Process Automation along Customer Journey



Customer-Centric Product and Ecosystem Development



Assertive Customer-Focused Sales Team

BK Group Financial Highlights – 2025 Q1

Delivering Sustainable Growth, Operational Resilience, and Strong Shareholder Returns

Sustained Growth	Profits & Margins	Enhancing Value
Total Assets: RWF 2,606 Bn (↑3.3% YTD)	Profit After Tax: RWF 25Bn (↑ 5.4% YoY)	Shareholder's Equity: RWF 463Bn (↑ 5.6% YTD)
Loans & Advances: RWF 1,548Bn (↑ 6.5% YTD)	Cost-to-Income Ratio: 33.9% (FY 2024: 38.1%) (Q1 2024: 36.9%)	Return on Equity: 22.3% (FY 2024: 22.6%)
Customer Deposits: RWF 1,6Bn (↑ 2.3 % YTD)	EPS of RWF 108.22 (FY 2024: RWF 97.8)	Return on Assets: 3.9% (FY 2024: 3.9%)

07 BK Group Consolidated Income statement – Q1 2025 Snapshot

Sustained Growth Across Core Income Lines, Driving Long-Term Shareholder Value

Rwf Billion	Mar-23	Mar-24	Mar-25	Change YoY
Net Interest Income	36.17	45.12	50.19	11.2%
Net Fee Income	10.66	12.91	7.50	-41.9%
Other Income	8.06	6.96	5.81	-16.5%
Total Operating Income	54.89	64.99	63.50	-2.3%
Operating Expenses	(21.14)	(23.98)	(21.55)	-10.1%
Net Operating Income	33.75	41.01	41.95	2.3%
Net Impairment provisions	(7.73)	(7.63)	(6.33)	-17.0%
Profit Before Tax	26.02	33.38	35.62	6.7%

Profit Before Tax increased by **↑6.7%** YoY, mainly driven by;

- ✓ **Net interest Income** increased by **↑11.2% YoY** to reach RWF 50.2Bn, attributed to the increase in loans and advances.
- ✓ **Non-Funded Income** decreased to RWF 13.3Bn – a 35% YoY decline on account of one-off transaction recorded in Q1 2024, coupled with increased pricing competition in the market. Normalized growth can be expected in the coming months.
- ✓ **Operating Expenses** decreased by **↓10.1% YoY** reflecting successful cost-saving initiatives. This resulted in **positive income jaws** and a notable improvement in the cost-to-income ratio to 33.9%, down from 36.9% in Q1 2024.
- ✓ **Net Loan Loss Provision** decreased by 17% to RWF 6.3Bn, driven by enhanced credit risk assessment and continued recovery efforts.

08 BK Group Consolidated Balance Sheet – Q1 2025 Snapshot

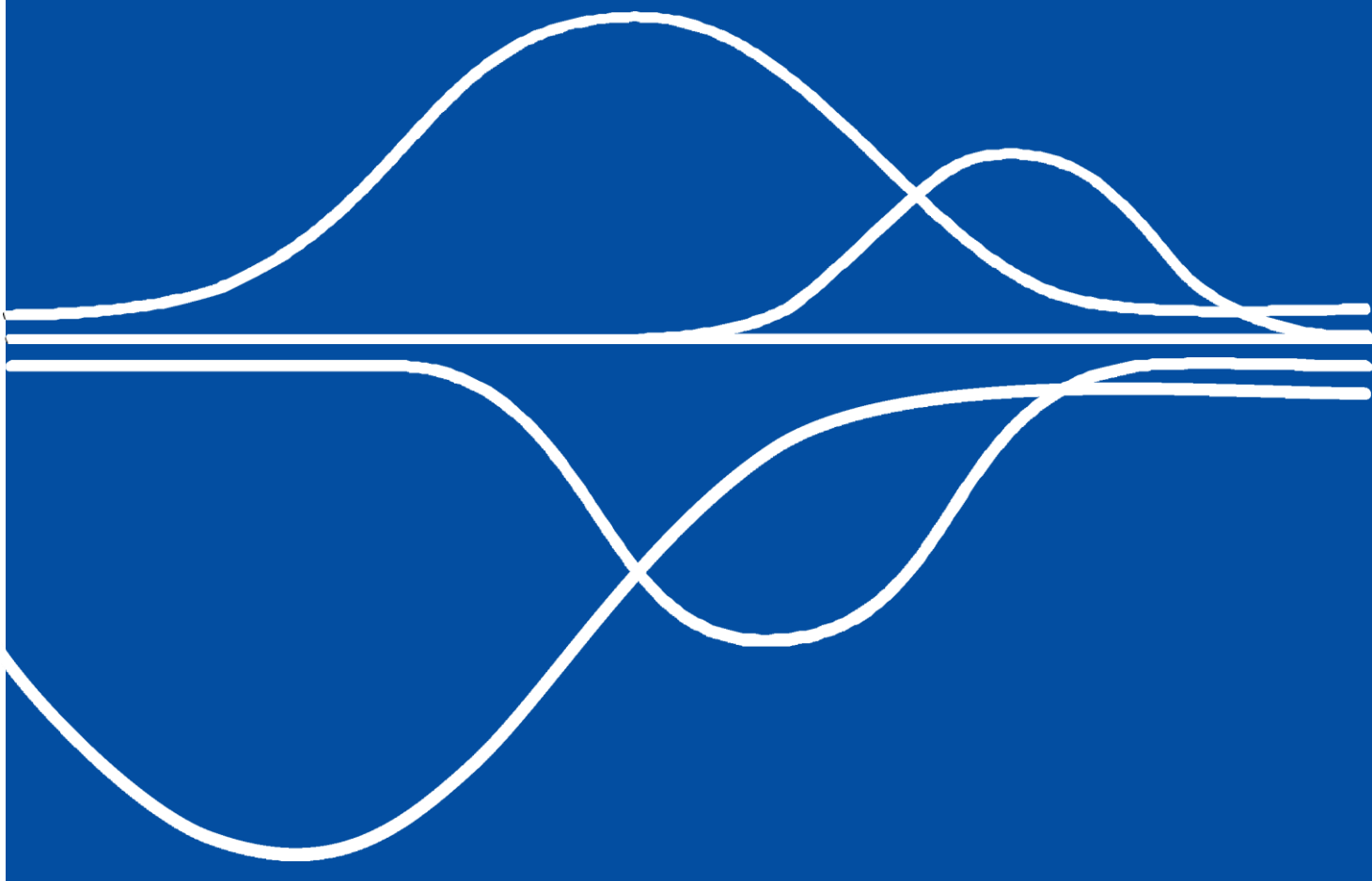
Consolidated growth supported by disciplined lending and funding mix stability

Rwf Billion	Dec-23	Dec-24	Mar-25	Change YTD
Net Loans To Clients	1,245	1,454	1,548	6.5%
Other Fixed Income Instruments	218	308	272	-11.8%
Cash, Cash Balances with Banks & BNR	588	678	695	2.5%
Other Assets	69	82	91	10.6%
Total Assets	2,120	2,522	2,606	3.3%

- ✓ **Loans and Advances** grew by **↑ 6.5%** YTD, reaching RWF 1,548 billion, reflecting strong contribution from Bank of Kigali and continued credit momentum across priority segments.

Interbank Deposits	195	223	241	8.0%
Client Balances & Deposits	1,374	1,642	1,680	2.3%
Borrowed Funds	104	115	113	-1.5%
Other Liabilities	81	103	109	5.4%
Shareholder's Equity	366	439	463	5.5%
Total liabilities & Shareholders' Equity	2,120	2,522	2,606	3.3%

- ✓ **Total Customer Deposit** grew moderately by **↑ 2.3%**, with a shift toward more stable and lower-cost demand deposits, improving the Group's overall CASA position.



02 Operating Environment

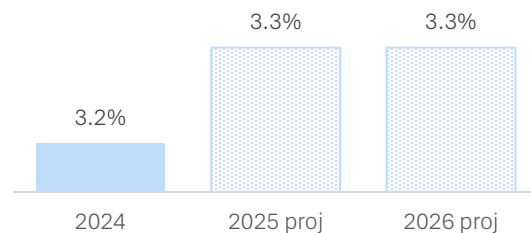
Macro-economic

Financial Sector Overview

10 Global Economic Outlook for 2025

Global growth stabilizing; inflation easing and interest rates expected to decline

Global Growth Projections



3.3%

Global Economic Growth proj.

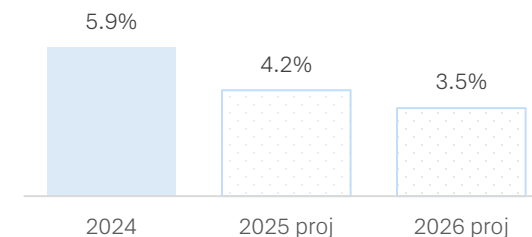
Global growth is projected at **3.3%** both in 2025 and 2026, below the historical (2000–19) average of **3.7%**. The forecast for 2025 is broadly unchanged from that in the October 2024 World Economic Outlook (WEO), primarily on account of an upward revision in the United States offsetting downward revisions in other major economies.



Global Interest Rates proj.
expected to decrease

The global interest rate outlook for 2025 suggests a gradual shift toward monetary easing. Central banks, including the U.S Federal Reserve, European Central Bank, and Bank of England lowering interest rates in the latter half of 2024 as inflation continues to decline. This easing will likely extend into 2025.

Global Inflation Outlook



4.2%

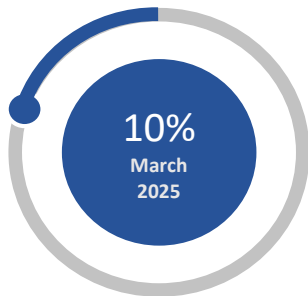
Global Inflation rate
proj.

Global headline inflation is expected to decline to **4.2%** in 2025 and to **3.5%** in 2026, converging back to target earlier in advanced economies than in emerging market and developing economies. Global disinflation continues, but there are signs that progress is stalling in some countries, and that elevated inflation is persistent in a few cases.

11 Rwanda Macro-Economics

Stable and reaffirmed economic outlook, supporting industry's growth

US \$ Depreciation Rate



FX (Exchange Rate)

The **10%** depreciation of the Rwandan Franc (Frw) has made an impressive move, against the US Dollar year-on-year as of March 2024 (18%). The Central Bank has continued to intervene on the interbank market by injecting foreign currencies to stabilize the currency fluctuation.

B+

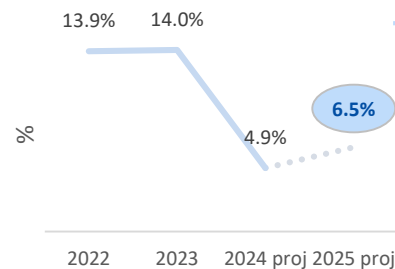
Credit Rating

Fitch Ratings revised Rwanda's sovereign credit rating outlook to **Negative**, affirming the Long-Term Issuer Default Rating (IDR) at '**B+**'. This development reflects heightened external debt risks and balance of payments pressures, posing challenges and opportunities for the banking..

Interest Rate

The Central Bank Rate has been maintained at **6.5%**, a level considered adequate to keep inflation within the target range, with forecasts standing averaging at around **6.5%** in 2024 and **4.1%** in 2025.

CBR Rate
6.5%
Feb 2025



Inflation

As of March 2025, Rwanda's inflation increased by **6.5%** YoY. It increased up from 6.3% in February 2025. Inflation is expected to remain within the target range, averaging around **6.5%** (2025) and **4.1%** (2026). we will likely benefit from predictable costs and stable interest rates.

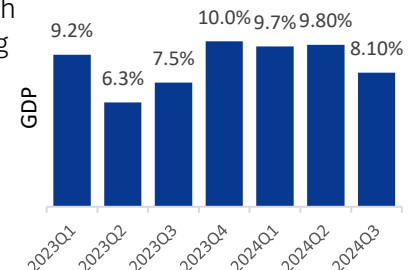


Real GDP

Rwanda's economy stage a strong growth of **8.9%** in 2024. This growth is expected to be driven by a strong performance in the service and industrial sectors, alongside the recovery of the agriculture sector

- Agriculture increased by **5%**
- Industry increased by **10%**
- Services increased by **10%**

Real GDP



12 Monetary Policy statement – March 2025



Rwanda's Merchandise Trade deficit narrowed **+5.2%** over the 12 months (Jan- Dec)

Merchandise Exports	+6.9% 2024	+1.7% 2023
Merchandise Imports	+5.8% 2024	+6.3% 2023



By the end of Dec-24, the Rwandan Franc had depreciated by **9.42%** against the US Dollar, showing a slowdown from the 18.05% depreciation during the same period in 2023. Additionally, the gross official reserves stood at **5.4 months** of import cover in December 2024, well above the 4 months benchmark



Headline Inflation decreased to **4.8%** 2024 From **14.0%** 2023

Headline Inflation stood at **6.3%** Feb 2025 From **7.4%** Jan 2025

Reasons for decreased headline inflation

- Good domestic agriculture performance
- Ease in key international commodity prices
- Past NBR monetary policy decisions

CBR Rate
6.5%
Dec 2024

From

CBR Rate
7.5%
Dec 2023

The interbank rate has decreased to **7.62%** 2024 From **7.84%** 2023

Lending rate decreased to

16.02%
2024

From

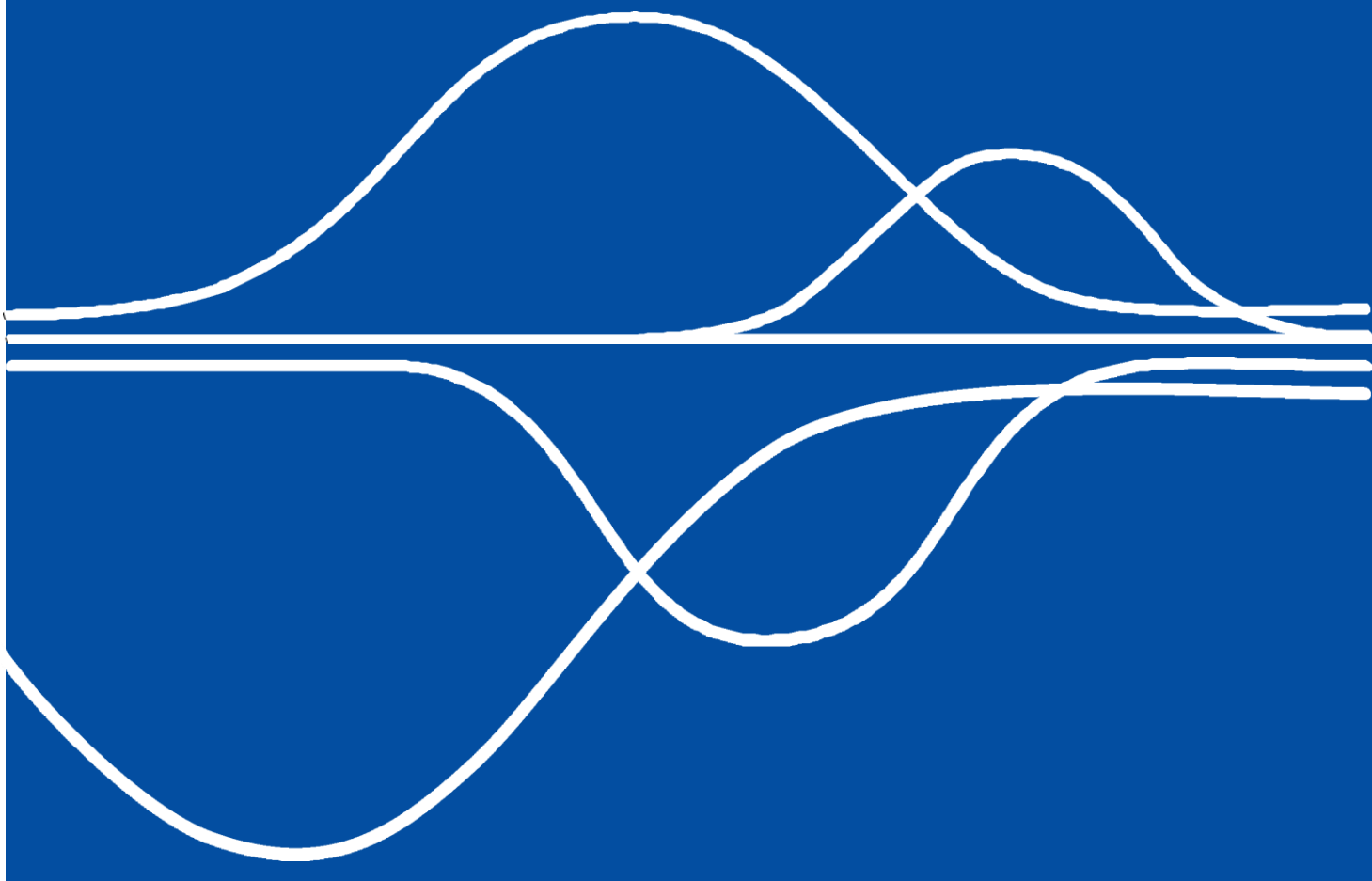
16.06%
2023

Deposit rate increased to

10.33%
2024

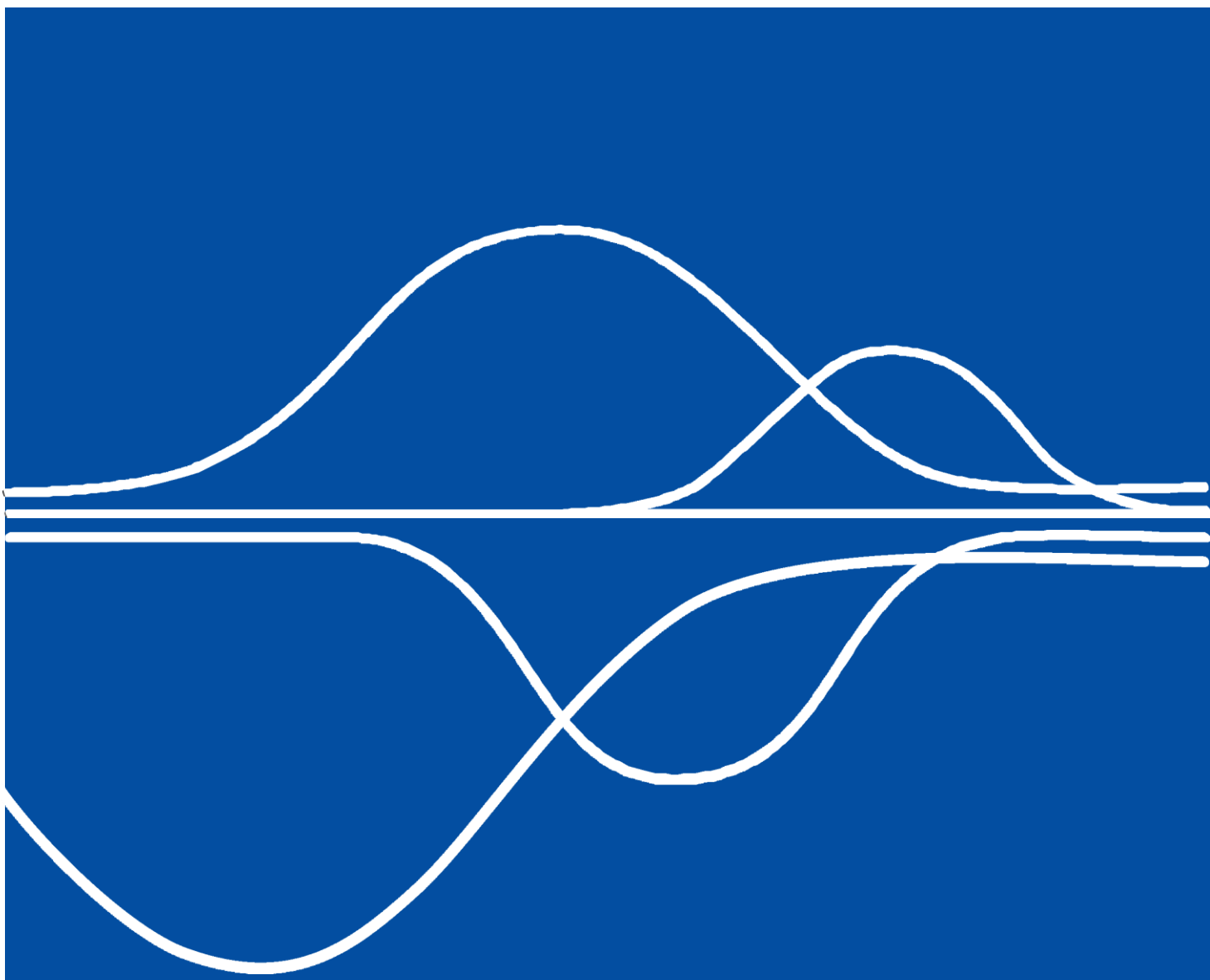
From

9.65%
2023



03 Financial Review

Subsidiary Financials & Related
Updates

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Bank of Kigali

Bank of Kigali – Q1 2025 financial highlights

We delivered strong balance sheet outcomes, sustained top line growth and enhanced shareholder value

Sustained Growth	Profits & Margins	Enhancing Value
Total Assets: RWF 2,551 Bn (↑ 3.5% YTD)	Profit After Tax: RWF 25.2Bn (↑ 12.2% YoY)	Shareholder's Equity: RWF 393Bn (↑ 4.4% YoY)
Loans & Advances: RWF 1,623Bn (↑ 6.6% YTD)	Cost-to-Income Ratio: 32.6% (FY 2024: 36.7%)	Return on Assets: 4.0% (FY 2024: 4.0%)
Customer Deposits: RWF 1,692Bn (↑ 2.2% YTD)	Operating Income: RWF 62.02Bn (↑ 1.2% YoY)	NPL Ratio: 3.6% (FY 2024: 3.2%)

16 Bank of Kigali Income statement – Q1 2025 Snapshot

Solid core income growth and cost control drive strong operating performance

Rwf Billion	Mar-24	Mar-25	Change YoY
Net Interest Income	45.32	49.12	8.4%
Net Fee Income	11.42	7.55	-33.9%
Other Income	4.53	5.35	18.1%
Total Operating Income	61.28	62.02	1.2%
Operating Expenses	(22.15)	(20.20)	-8.8%
Net Operating Income	39.12	82.22	110.1%
Net Impairment provisions	(7.68)	(6.42)	-16.4%
Profit Before Tax	31.45	35.41	12.6%

Profit Before Tax increased by **↑12.6%** YoY, mainly driven by strong operating income growth and lower impairments.

- ✓ **Net Interest Income** rose by **8.4%** YoY to RWF 49.1 billion, reflecting a 10% increase in interest income, partially offset by a 15.6% rise in interest expense, which puts some pressure on margins despite loan book growth.
- ✓ **Net Fee Income** declined by **33.9%**, largely on account of one-off transaction recorded in Q1 2024, coupled with increased pricing competition in the market.
- ✓ **Other Income** grew by **18.1%**, mainly on account of improved foreign exchange earnings.
- ✓ **Operating Expenses** declined by **8.8%** YoY to RWF 20.2 billion, reflecting disciplined cost control and a lower FX-driven expense base.
- ✓ **Net Loan Loss Provisions** decreased by **16.4%**, reflecting the continued recovery efforts and strengthened credit assessment process.

17 Bank of Kigali Balance Sheet – Q1 2025 Snapshot

Selective loan growth and deposit rebalancing strengthen funding mix

Rwf Billion	Dec-23	Dec-24	Mar-25	Change YoY
Net Loans To Clients	1,245	1,454	1,548	6.5%
Investments in securities/ bonds/ specialized funds	193	283	246	-12.9%
Cash, Cash Balances with Banks & BNR	581	667	678	1.7%
Other Assets	43	62	78	26.2%
Total Assets	2,063	2,466	2,551	3.5%
Interbank Deposits	195	223	241	8.0%
Client Balances & Deposits	1,387	1,656	1,692	2.2%
Borrowed Funds	104	112	111	-1.2%
Other Liabilities	61	98	114	16.0%
Shareholder's Equity	315	377	393	4.4%
Total liabilities & Shareholders' Equity	2,063	2,466	2,551	3.5%

- ✓ **Loan book expanded** by **↑ 6.5%** YTD, driven by corporate and USD-denominated lending, with growth aligned to the Bank's risk appetite and internal concentration limits.
- ✓ **Customer deposits** grew **2.2%**, supported by a deliberate shift from term to demand deposits. CASA improved from 78% to 80%, reducing reliance on high-cost funding.
- ✓ **Total Assets** increased by **3.5%** YTD, reflecting disciplined balance sheet expansion and a more efficient asset mix.

18 Bank of Kigali: Key Ratios

Sustained profitability with improved efficiency, stable asset quality, and solid capital buffers

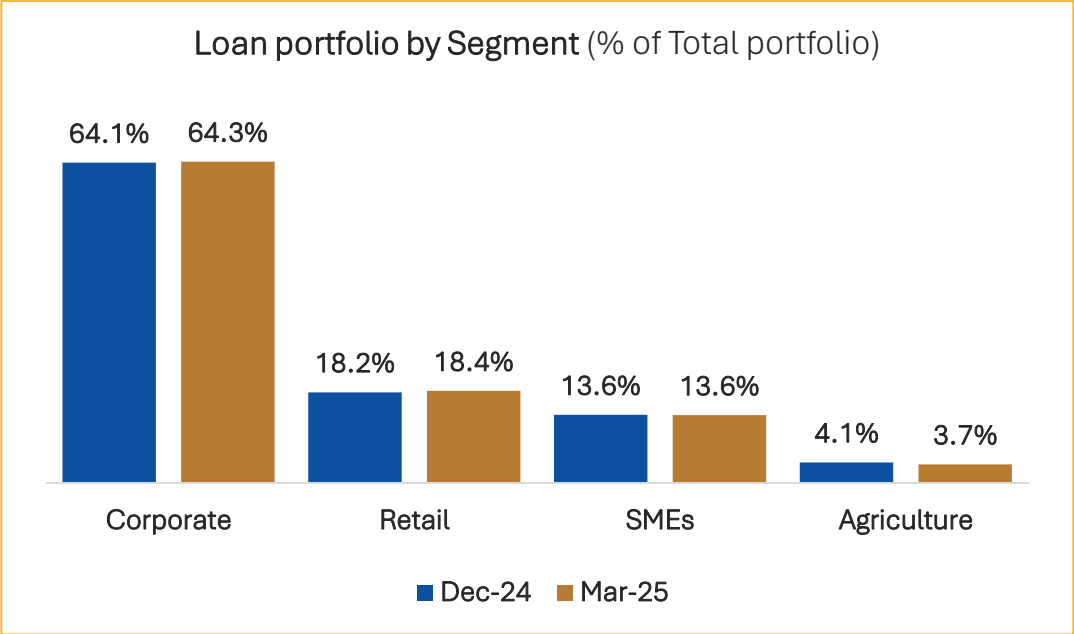
Key Prudential Ratio	Dec-21	Dec-22	Dec-23	Dec-24	Mar-25
Cost/Income Ratio (CIR)	36.30%	45.70%	42.80%	36.70%	32.60%
Net Interest Margin (NIM)	10.90%	9.70%	9.80%	9.21%	8.70%
Return on Equity (ROAE)	20.30%	21.40%	25.20%	25.90%	26.20%
Return on Assets (ROAA)	3.45%	3.57%	3.81%	4.00%	4.00%
Capital Adequacy Ratio (Tier 2)	18.20%	22.60%	19.40%	19.20%	19.80%
Cost of Risk	3.40%	0.90%	1.50%	2.38%	1.60%
Non-Performing Loans (NPL) Ratio	5.30%	2.60%	4.30%	3.22%	3.60%

- Capital Adequacy Ratio (CAR) minimum regulatory requirement: **15%**
- NPL regulatory requirement: **<5%**.

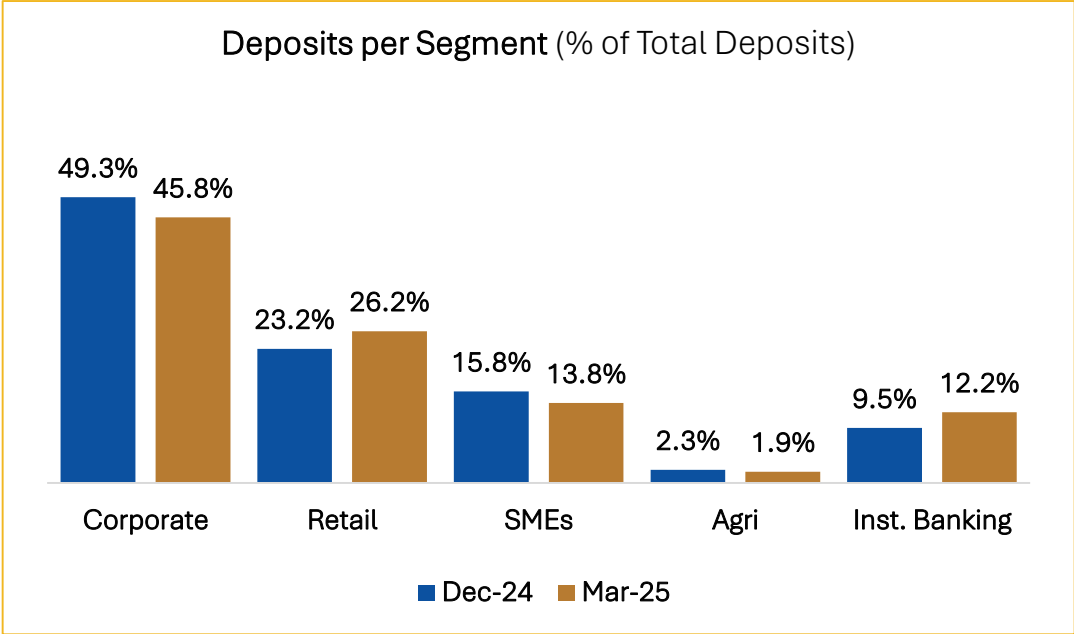
- ✓ **CIR** improved to 32.6% in Q1 2025 from 36.7% in 2024, reflecting continued operating efficiency and cost discipline.
- ✓ **Net Interest Margin** contracted slightly to 8.7%, impacted by shifts in the funding mix and a more competitive pricing environment.
- ✓ **Return on Equity (ROAE)** rose to 26.2%, signaling strong earnings momentum and effective capital deployment.
- ✓ **Cost of Risk** edged up to 1.6%, reflecting continued prudent provisioning amid selective loan growth and slight uptick in NPLs.
- ✓ **NPL Ratio** increased to 3.6% from 3.2% in December 2024 but remains well within the Bank's <5% risk appetite.

19 Business Segments Highlights – Q1 2025

Stable segment distribution with strategic shifts in deposit and loan composition

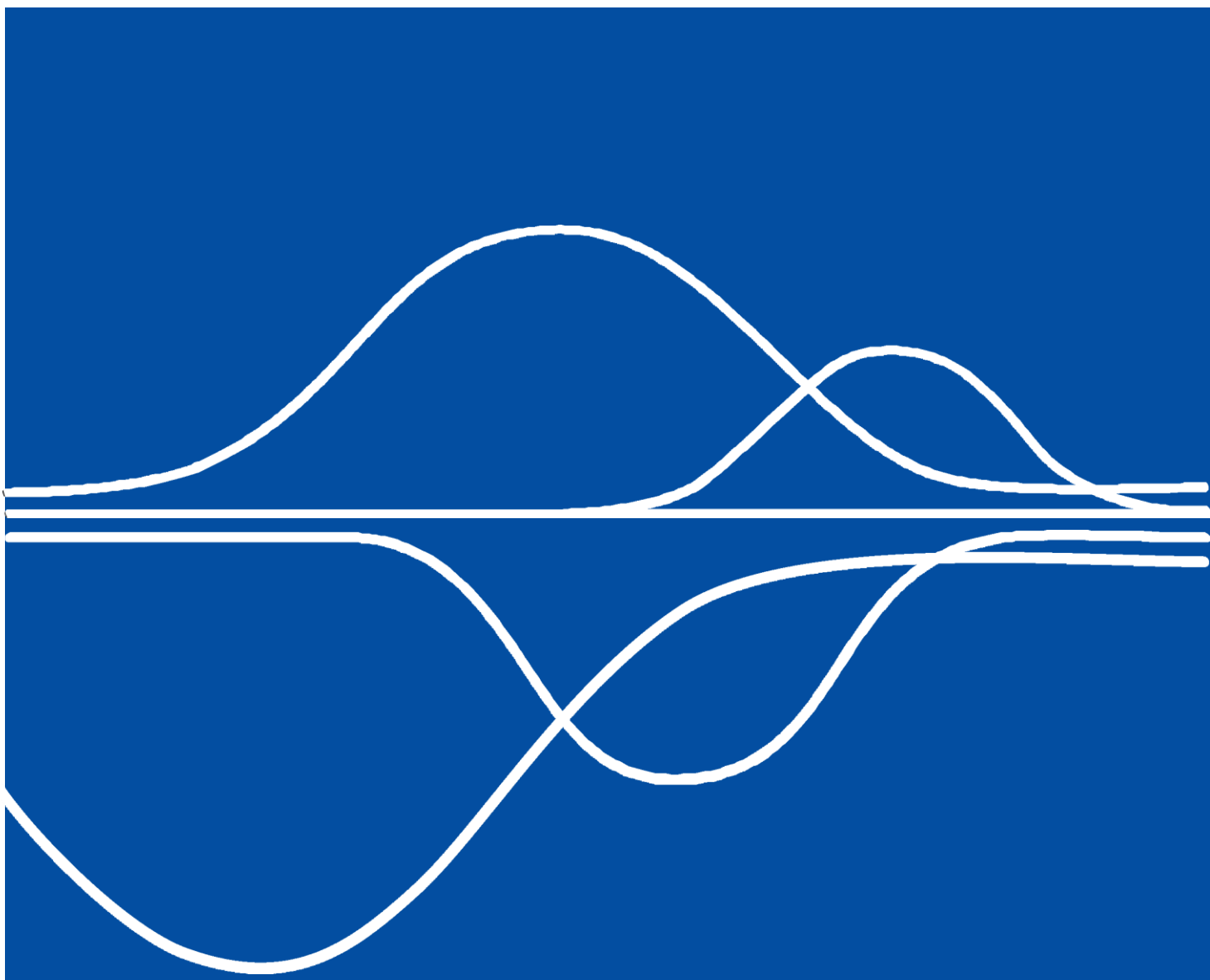


Loan Portfolio Distribution remained largely stable across segments. Corporate lending held steady at 64.3%, within internal risk thresholds, while Retail and SME lending maintained their relative shares. Agriculture slightly declined from 4.1% to 3.7%.



Deposits composition undergoing strategic shift. Corporate deposit share reduced from 49.3% to 45.8%, while Retail deposits increased to 26.2%, reflecting a stronger focus on individual customer segments.

Institutional Banking, was introduced in 2024, now accounts for 12.2% of total deposits, aimed at enhancing account management and delivery of tailored solutions for large organizations.

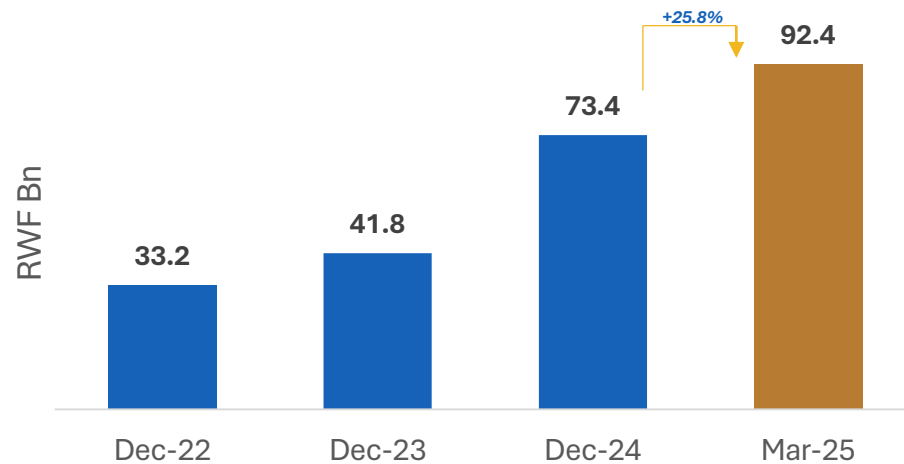


BK Capital

21 BK Capital

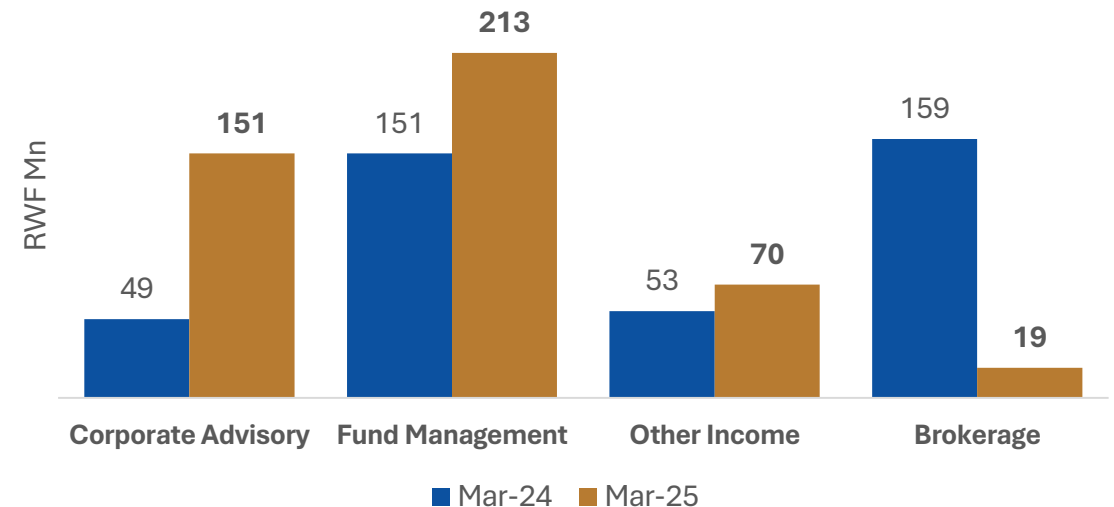
Strong AuM Growth in Q1 2025; Revenue Impact from Project Delays and Higher Operating Costs

Assets Under Management (AuM)

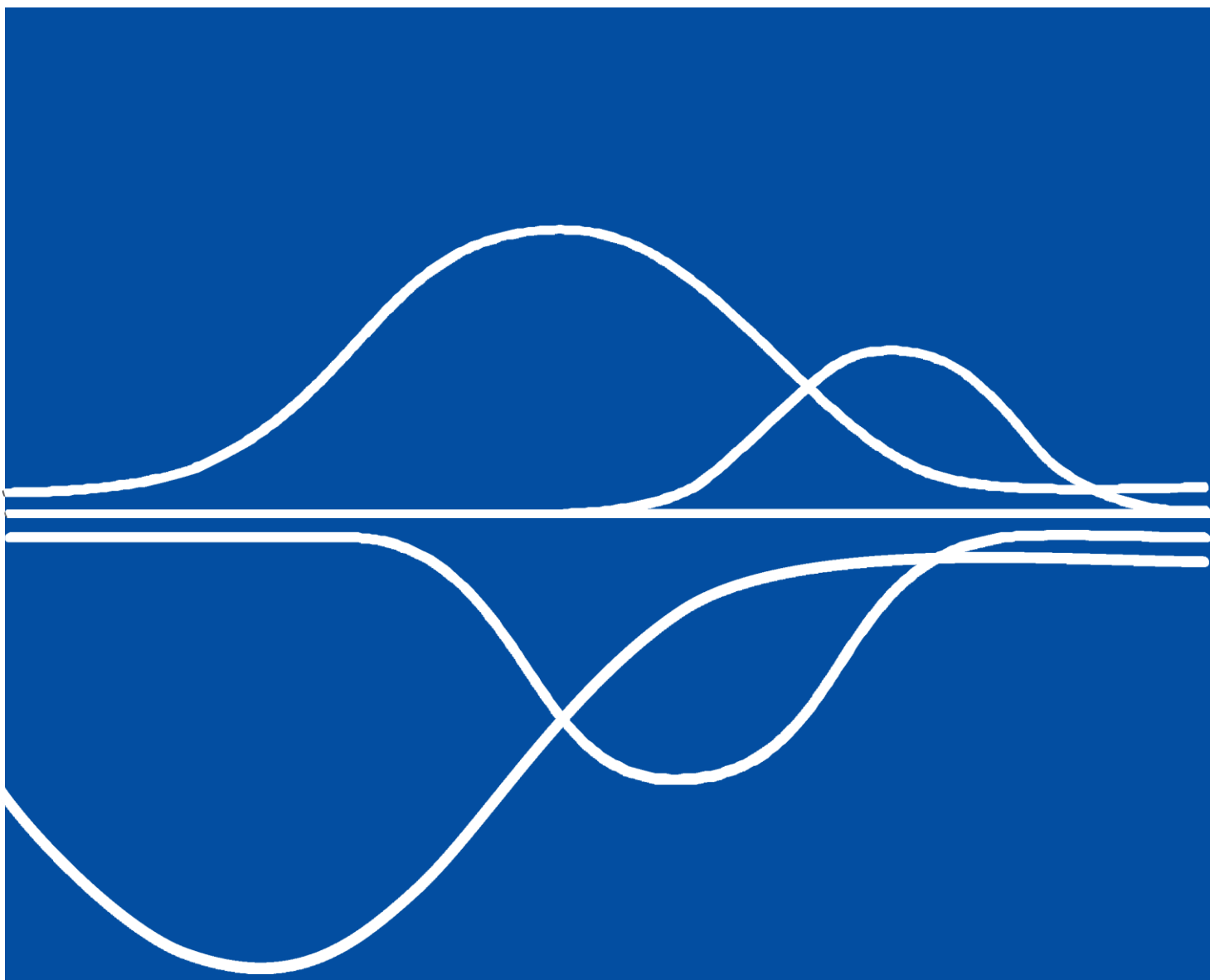


- AuM grew by 25.8% YTD to RWF 92.4Bn, driven by strong new client onboarding, pension inflows, and portfolio performance gains.
- Aguka" fund grew by 33% Y-o-Y, while Managed Accounts AuM surged by 194% Yoy, reflecting deepening investor trust and institutional mandates.

Income Statement



- **Corporate Advisory** income grew significantly, driven by fees from a strong advisory pipeline despite slower transaction execution
- **Fund Management** increased to RWF 213Mn, reflecting the growth in assets under management and improved portfolio performance.
- **Brokerage income declined**, largely due to subdued market activity and lower trading volumes.

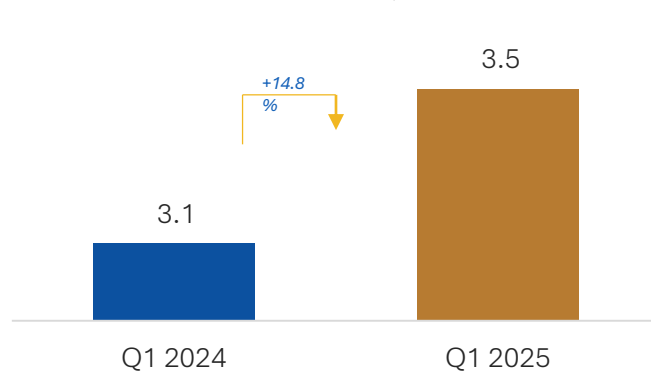
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BK General Insurance

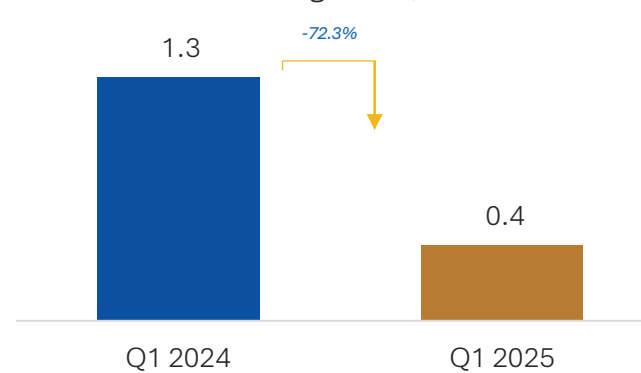
23 BK GI – Income Statement highlights

Business Volume Momentum but Core Profitability Facing Headwinds

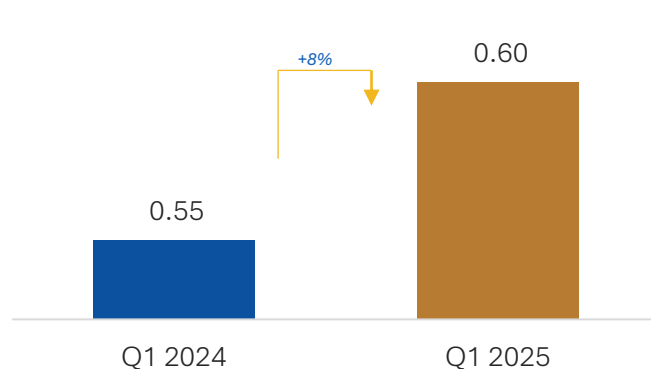
Gross Premiums, RWF Bn



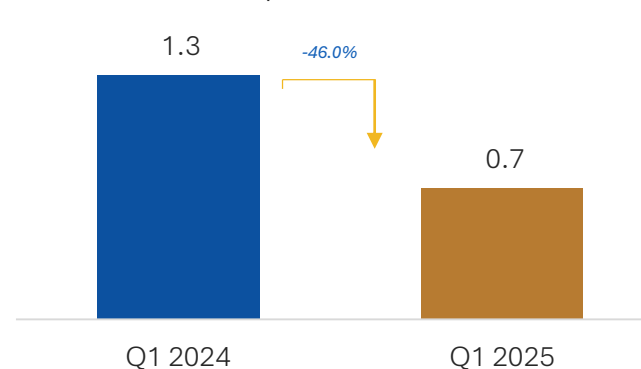
Underwriting Profit, RWF Bn



Investment Income, RWF Bn



Net profit, RWF Bn



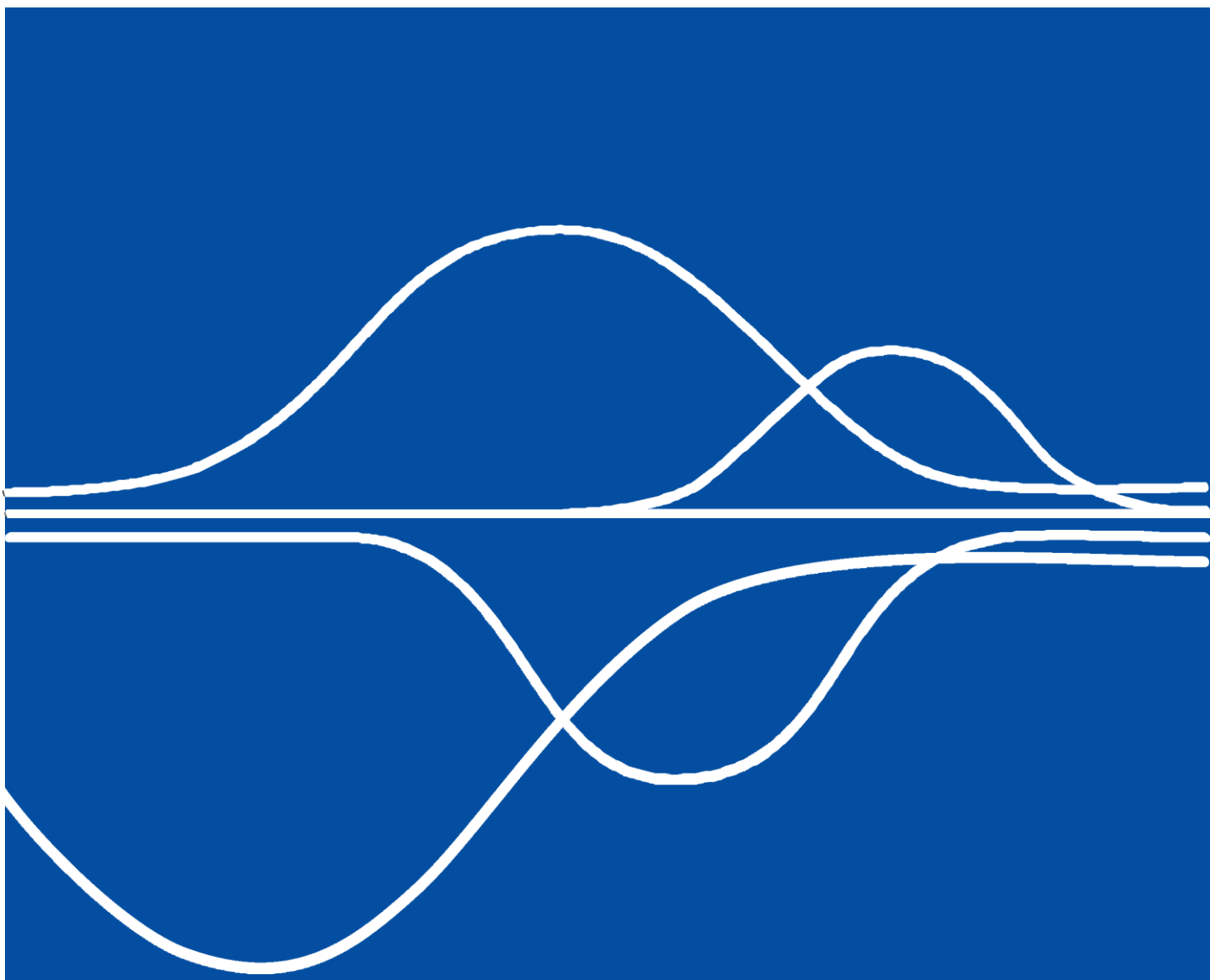
- ✓ **Gross written premiums** increased by ↑ **14.8%** YoY, rising from RWF 3.1B to RWF 3.5B, driven by strong market traction and continued client acquisition.
- ✓ **Underwriting profit** declined by 72.3% to RWF 0.4B, due to a temporary spike in the loss ratio linked to large claims in select segments during the quarter.
- ✓ **Investment income** grew by 8% YoY, from RWF 0.55B to RWF 0.60B, supported by a stable and diversified portfolio.
- ✓ As a result, **Net profit** declined to RWF 0.7B, with earnings impacted by the one-off claims experience. Normalized margins are expected to improve by the third quarter of the year.

24 BK insurance: Key Prudential Ratios

Prudential Ratios Remain Well-managed Amid Moderate Balance Sheet Growth

Key Prudential Ratio	Dec-23	Dec-24	Mar-25	Regulatory Benchmark
Claims Ratio	42%	33%	57%	<65%
Expense Ratio	36%	35%	29%	<30%
Return on Equity (ROE)	22%	25%	16%	>6%
Return on Assets (ROA)	12%	17%	10%	>4%
Liquid (Quick ratio)	142%	139%	129%	>100%
Solvency Margin Ratio	502%	324%	255%	>100%
Risk-Based Capital (RBC)	188%	177%	147%	>130%

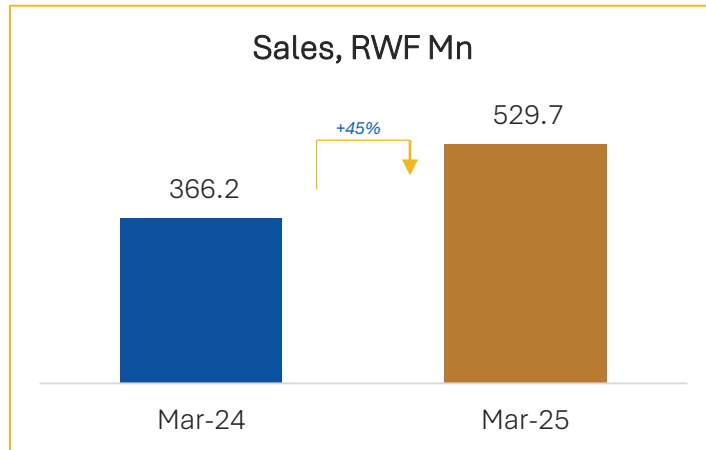
- ✓ **Claims ratio** consistently below 65% required, reflecting strong underwriting discipline and risk management.
- ✓ **Expense Ratio** decreased to 35% from 36% in Dec-23, showcasing continued cost efficiency efforts.
- ✓ **ROE** and **ROA** remain robust at 25% and 17%, respectively, underscoring strong profitability and effective capital deployment.
- ✓ **RBC** remains above the >130% benchmark at 177%. The ratio compares capital available against the capital required

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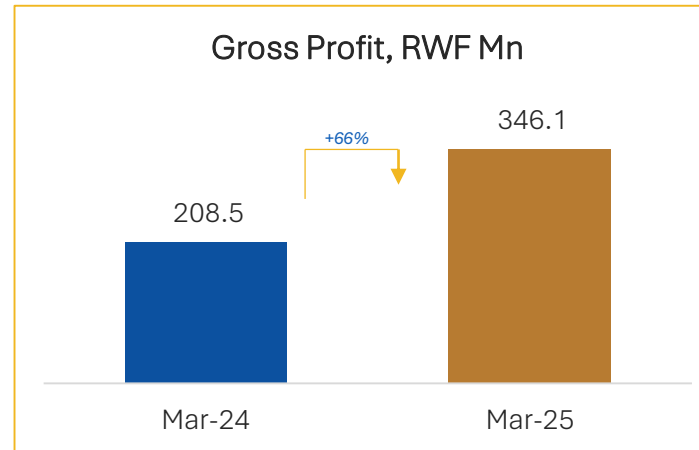
BK TechHouse

26 BK TechHouse: Key Financial Highlights

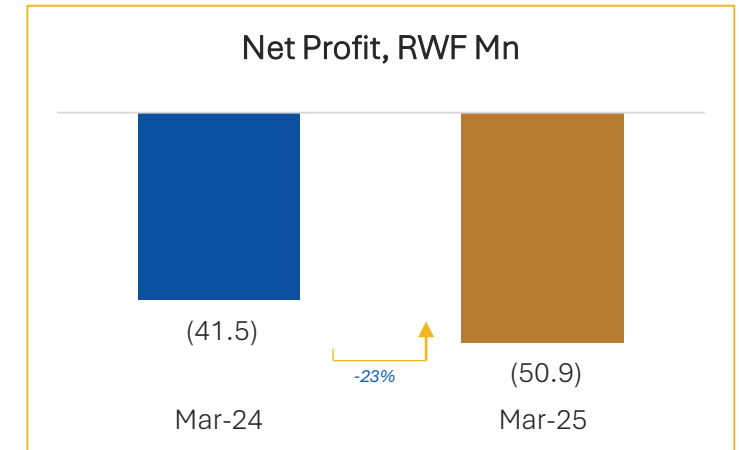
Strong revenue and margin growth; net performance impacted by non-recurring income and cost pressures



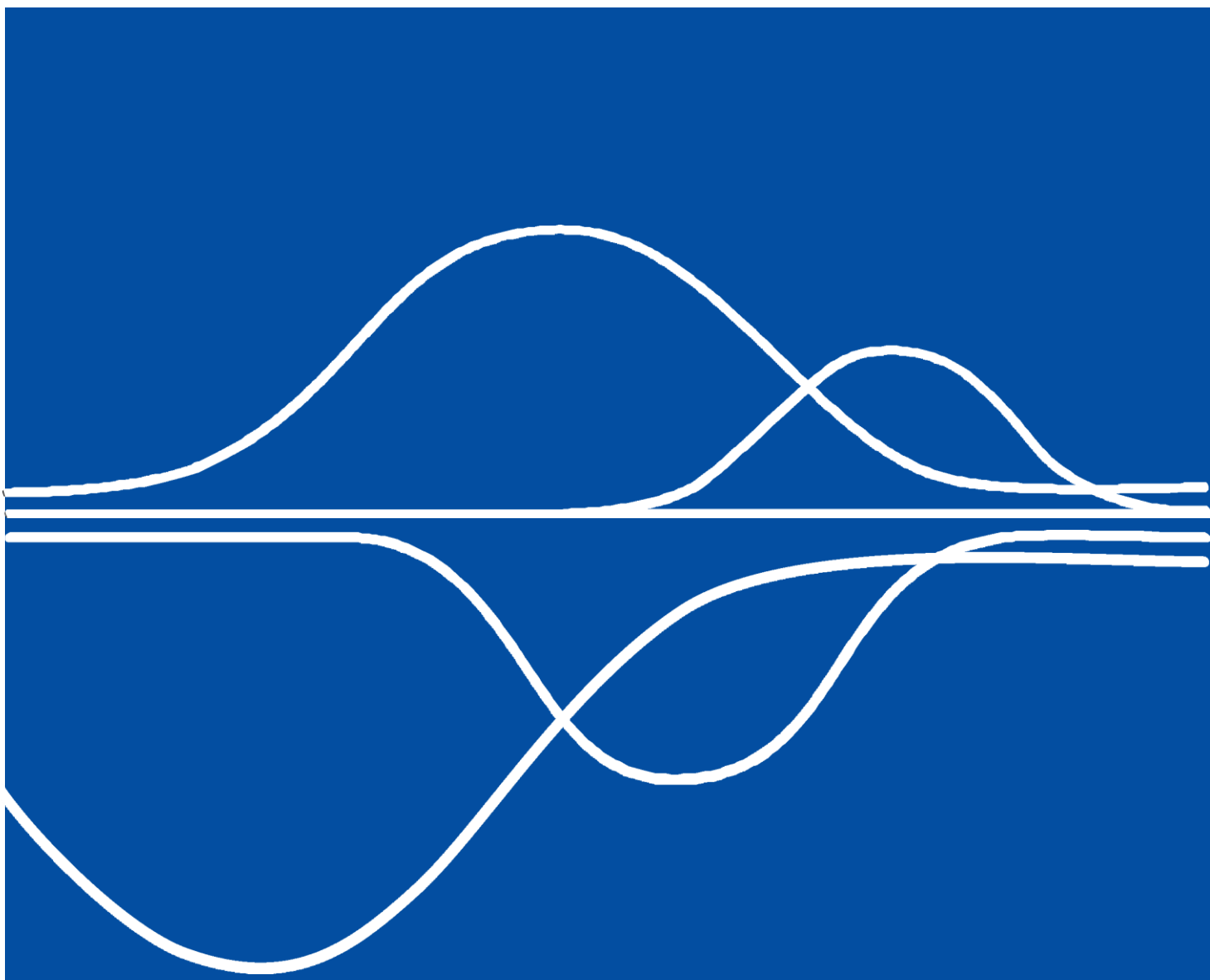
- ✓ **Gross Revenue:** Increased by 45% YoY from 366M RWF to 530M RWF - driven by higher uptake across core digital platforms



- ✓ **Gross Margin:** Improved by 8 percentage points, increasing from 57% to 65%, primarily due to reduced infrastructure hosting costs and better cost optimization



- ✓ **Net Profit** declined by 23% YoY in Q1 2025. The variance reflects higher operating costs and the absence of one-off grant income that supported prior-year results.
- ✓ Key cost driver in the quarter include salary adjustment related to increased pension contributions.

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BK Foundation

28 BK Foundation

Our strategic pillars



Education



Empowerment



Environmental Conservation

Q1 2025 Updates & Highlights

Strategic Alignment & Governance:

- ✓ BK Foundation revised its 5-Year Strategy to align with BK Group's overarching vision and Rwanda's National Strategy for Transformation (NST2).
- ✓ The new strategy is anchored on three core pillars: Education, Empowerment, and Environmental Conservation, aiming to reach 50,000 financially included individuals by 2029.
- ✓ Launched a new official website to enhance program visibility and accessibility

Empowerment Pillar:

- ✓ **Launch of BK Urumuri Program 8th Edition** in partnership with GIZ receiving 423 applications, with 156 shortlisted for further review.

Education Pillar

- ✓ The Scholarships Program has supported **464 students**, including 264 in STEM secondary education and 200 in short-course TVET tracks.

Environmental conservation:

- ✓ **BK Group ESG-aligned initiatives** - currently under design as part of the broader BK Group ESG agenda, including: Launch of a carbon footprint calculator, implement Tree planting campaigns in select districts and Promotion of eco-conscious behavior among BK Group employees.



Thank You



<https://www.bkgroup.rw/>



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